

Datadog Inc

Core accelerates again; Reiterate Buy

Reiterate Rating: BUY | PO: 215.00 USD | Price: 130.62 USD

Strong results: Total revs accelerates, so does the core

Datadog (DDOG) reported a strong finish with 4Q25 results with revenue, non-GAAP operating income, and free cash flow above BofA/Street. The 2026 total revenue guide is \$4.06-4.10bn, or +18-20% y/y, which we think is above buy-side expectations. The key positive in our view, is that non-AI native growth accelerated 3pts sequentially to +23% y/y. The acceleration is a higher magnitude than the +2pts seen in 3Q25. With 4Q25 total revenue growth also accelerating to +29% y/y (from +28% in 3Q25), we think the results show that Datadog is positioned to be a long-term strategic tool for AI, digital transformations, and cloud migrations. This should result in more good results. We raise our revenue forecast for ARR per customer assumptions, while we lower our operating income forecast for higher expense assumptions. Reiterate Buy, \$215 PO.

Our expectations into the Investor Day on Thursday (2/12)

We expect to hear more about how management is thinking about investments to drive long-term durable growth and product differentiation. We anticipate learning more about how prior product initiatives are playing out (Flex Logs, CloudPrem, etc.). We hope to learn more about how new investments will play out in its non-GAAP op margin and FCF trajectory over the next few years. Lastly and while not expected, a medium-to-long term growth and profitability framework could be introduced (before was primarily non-GAAP operating income target of 25%+), which can help level set expectations.

Big deal activity sounding good, more likely coming

Of the many large deals announced on the call, we found two to be the most impressive. (1) The biggest new logo to date, which was an eight-figure annualized deal with “one of the largest AI financial model” companies. Bullish on Datadog’s position in the AI ecosystem. (2) A return customer on a seven-figure annualized deal, proving that cheaper is not always good enough for mission critical observability workflows.

\$215 PO is implying 64% upside potential

Our unchanged PO is based on an 18.4x EV/CY26E revenue multiple (prior 18.8x), which translates to an EV/R/G of 1.0x (prior 1.1x). This is a premium to its infrastructure software peers at 5.3x/0.5x, which we think is warranted given its revenue growth and free cash flow upside potential, and category leadership.

Estimates (Dec) (US\$)	2024A	2025A	2026E	2027E	2028E
EPS	1.83	2.06	2.11	2.35	2.65
GAAP EPS	0.51	0.30	0.28	0.25	0.24
EPS Change (YoY)	19.6%	12.6%	2.4%	11.4%	12.8%
Consensus EPS (Bloomberg)			2.41	2.95	3.90
Consensus EPS (Visible Alpha)			2.34	2.83	3.53
Valuation (Dec)					
P/E	62.3x	55.3x	54.0x	48.5x	43.0x
GAAP P/E	223.5x	380.0x	407.2x	456.0x	475.0x
EV / EBITDA*	49.7x	44.0x	38.2x	34.0x	29.6x
Free Cash Flow Yield*	1.9%	2.2%	2.4%	2.9%	3.4%

* For full definitions of *IQmethod*SM measures, see page 8.

10 February 2026 Corrected

Equity

Key Changes

(US\$)	Previous	Current
2026E Rev (m)	3,973.5	4,080.3
2027E Rev (m)	4,687.7	4,794.2
2028E Rev (m)	NA	5,594.0
2026E EPS	2.15	2.11
2027E EPS	2.54	2.35
2028E EPS	NA	2.65

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Stock Data

Price	130.62 USD
Price Objective	215.00 USD
Date Established	6-Nov-2025
Investment Opinion	C-1-9
52-Week Range	81.63 USD - 201.69 USD
Mrkt Val (mn) / Shares Out (mn)	47,744 USD / 365.5
Free Float	98.3%
Average Daily Value (mn)	695.90 USD
BofA Ticker / Exchange	DDOG / NAS
Bloomberg / Reuters	DDOG US / DDOG.QQ
ROE (2026E)	18.6%
Net Dbt to Eqty (Dec-2025A)	15.6%

ARR = annual recurring revenue

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iQprofileSM Datadog Inc

iQmethodSM – Bus Performance*

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Return on Capital Employed	20.0%	16.8%	16.2%	15.5%	15.0%
Return on Equity	27.6%	23.2%	18.6%	17.0%	15.9%
Operating Margin	25.1%	22.4%	21.1%	21.3%	21.3%
Free Cash Flow	775	915	1,013	1,199	1,398

iQmethodSM – Quality of Earnings*

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash Realization Ratio	1.3x	1.4x	1.5x	1.6x	1.6x
Asset Replacement Ratio	1.7x	2.4x	2.0x	2.5x	2.5x
Tax Rate	9.9%	15.2%	2.2%	2.2%	2.1%
Net Debt-to-Equity Ratio	13.5%	15.6%	-9.1%	-27.8%	-42.3%
Interest Cover	NM	NM	NM	NM	NM

Income Statement Data (Dec)

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Sales	2,684	3,427	4,080	4,794	5,594
% Change	26.1%	27.7%	19.1%	17.5%	16.7%
Gross Profit	2,201	2,776	3,305	3,883	4,531
% Change	26.2%	26.1%	19.1%	17.5%	16.7%
EBITDA	836	945	1,089	1,222	1,407
% Change	41.0%	12.9%	15.2%	12.3%	15.1%
Net Interest & Other Income	153	177	134	114	114
Net Income (Adjusted)	654	747	785	898	1,032
% Change	22.4%	14.2%	5.2%	14.3%	15.0%

Free Cash Flow Data (Dec)

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Net Income from Cont Operations (GAAP)	184	108	106	94	92
Depreciation & Amortization	55	56	102	96	112
Change in Working Capital	13	53	125	212	267
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	619	833	884	1,036	1,207
Capital Expenditure	(96)	(135)	(204)	(240)	(280)
Free Cash Flow	775	915	1,013	1,199	1,398
% Change	29.7%	18.0%	10.7%	18.3%	16.6%
Share / Issue Repurchase	51	63	0	0	0
Cost of Dividends Paid	0	0	0	0	0
Change in Debt	782	(636)	0	0	0

Balance Sheet Data (Dec)

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash & Equivalents	1,247	401	1,414	2,613	4,011
Trade Receivables	599	741	1,077	1,187	1,287
Other Current Assets	3,065	4,240	4,196	4,204	4,226
Property, Plant & Equipment	227	338	338	338	338
Other Non-Current Assets	647	923	1,043	1,230	1,449
Total Assets	5,785	6,644	8,069	9,572	11,311
Short-Term Debt	634	0	0	0	0
Other Current Liabilities	1,229	1,591	2,013	2,370	2,792
Long-Term Debt	979	983	983	983	983
Other Non-Current Liabilities	229	337	345	361	380
Total Liabilities	3,071	2,912	3,342	3,715	4,156
Total Equity	2,714	3,732	4,727	5,857	7,155
Total Equity & Liabilities	5,785	6,644	8,069	9,572	11,311

* For full definitions of iQmethodSM measures, see page 8.

Company Sector

Software

Company Description

Datadog is an observability software vendor that enables its customers to have strong visibility into the health and performance of its technology stacks to drive high quality end-user experiences. Datadog is able to achieve this with its portfolio of 24+ products that spans infrastructure monitoring, APM, log analytics, cloud security, among many others.

Investment Rationale

Datadog is positioned to be a share gainer in a large \$53bn observability TAM. This is because it delivers enterprise-class observability tools with a low-friction adoption motion that drives fast time to value and good ROI. Furthermore, we believe enterprises will increasingly standardize its observability and security workloads to a single vendor, to which Datadog appears positioned to take share. With AI workloads beginning to pick up, we believe Datadog will be a beneficiary in the AI theme.

Stock Data

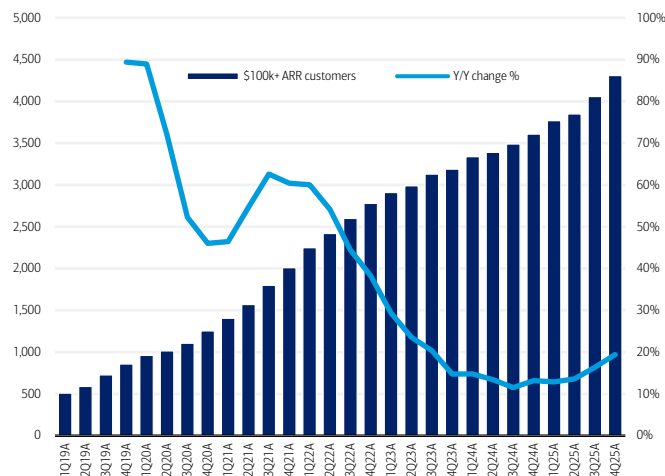
Average Daily Volume 5,327,655

Quarterly Earnings Estimates

	2025	2026
Q1	0.46A	0.50E
Q2	0.46A	0.48E
Q3	0.55A	0.55E
Q4	0.59A	0.58E

Exhibit 1: \$100k ARR customer growth accelerated to 19% from 16% last quarter

\$100k ARR customers and Y/Y change, 1Q19 to 4Q25

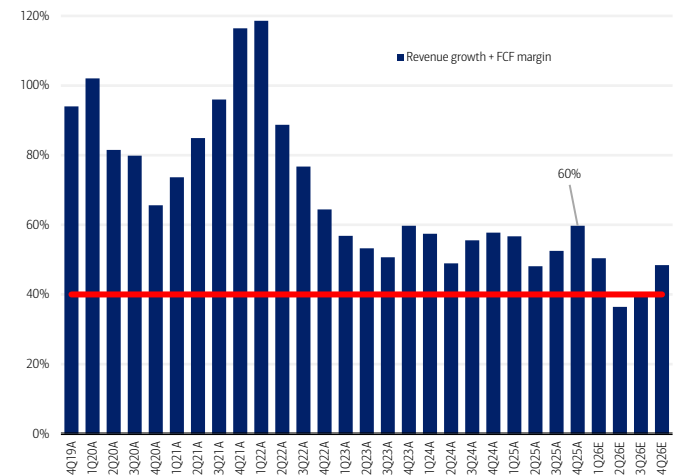


Source: Company filings, BofA Global Research

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Exhibit 2: Datadog is a very healthy “Rule-of-60”

Revenue growth + FCF margin, 4Q19 to 4Q26E



Source: Company filings, BofA Global Research estimates

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Exhibit 3: Total revenue was 4.3% higher than our prior forecast

Variance

\$000s except EPS and guidance					4Q25A			
	4Q24A	1Q25A	2Q25A	3Q25A	Actual	BofA Estimate	\$ Variance	% Variance
Revenue build								
Customers, end of period	30,000	30,500	31,400	32,000	32,700	32,863	(163)	(0.5%)
Y/Y change %	9.9%	8.9%	9.4%	9.5%	9.0%	9.5%		(54bps)
Total revenue	737,727	761,553	826,760	885,651	953,194	914,041	39,153	4.3%
Y/Y change %	25.1%	24.6%	28.1%	28.4%	29.2%	23.9%		531bps
Guidance (mn)	709-713	737-741	787-791	847-851	912-916			
Total billings	908,045	747,702	852,373	892,635	1,212,259	1,064,535	147,724	13.9%
Y/Y growth %	25.7%	21.0%	27.7%	29.6%	33.5%	17.2%		1627bps
Income (Loss) from Operations	179,168	166,505	164,108	207,364	230,068	217,999	12,069	5.5%
Operating Margin	24.3%	21.9%	19.8%	23.4%	24.1%	23.9%		29bps
Guidance (mn)	163-167	162-166	148-152	176-180	216-220			
Adjusted EBITDA	230,636	210,279	202,447	253,694	278,087	270,510	7,577	2.8%
Adjusted EBITDA margin	31.3%	27.6%	24.5%	28.6%	29.2%	29.6%		(42bps)
EPS (Pro Forma)	\$0.49	\$0.46	\$0.46	\$0.55	\$0.59	\$0.55	\$0.04	7.9%
Guidance	0.42-0.44	0.41-0.43	0.40-0.42	0.44-0.46	0.54-0.56			
Shares outstanding diluted	360,940	363,078	358,725	362,001	365,516	367,501	(1,985)	(0.5%)
Cash Flow from Operations	265,228	271,541	200,055	251,470	327,069	281,945	45,124	16.0%
OCF margin	36.0%	35.7%	24.2%	28.4%	34.3%	30.8%		347bps
Free cash flow	240,972	244,391	165,353	213,952	291,021	240,813	50,208	20.8%
FCF margin	32.7%	32.1%	20.0%	24.2%	30.5%	26.3%		419bps

Source: Company filings, BofA Global Research estimates

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Exhibit 4: We raise our 2026E revenue forecast by 2.7%

Estimate revisions

\$000s except EPS and guidance	1Q26E				FY26E				FY27E				FY28E			
	Old Est.	New Est.	\$ change	% change	Old Est.	New Est.	\$ change	% change	Old Est.	New Est.	\$ change	% change	Old Est.	New Est.	\$ change	% change
Revenue build																
Customers, end of period	33,412	33,254	(159)	(0.5%)	36,000	35,681	(318)	(0.9%)	39,457	38,975	(482)	(1.2%)	NA	42,613	NA	NA
Y/Y change %	9.5%	9.0%		(52bps)	9.5%	9.1%		(43bps)	9.6%	9.2%		(37bps)	NA	9.3%		NA
Net-new ARR	42,189	36,183	(6,006)	(14.2%)	655,704	667,344	11,640	1.8%	771,998	791,610	19,612	2.5%	NA	920,630	NA	NA
Y/Y change %	(78.0%)	(81.2%)		(313bps)	(15.2%)	(26.8%)		(1160bps)	17.7%	18.6%		89bps	NA	16.3%		NA
NRR (BofA estimate)	115%	117%		150bps	115%	114%		(100bps)	116%	116%		0bps	NA	116%		NA
Ending ARR (BofA est.)	3,935,868	4,068,194	132,325	3.4%	4,549,383	4,699,354	149,971	3.3%	5,321,382	5,490,964	169,582	3.2%	NA	6,411,594	NA	NA
Y/Y change %	18.8%	22.8%		399bps	16.8%	16.6%		(29bps)	17.0%	16.8%		(12bps)	NA	16.8%		NA
Total revenue	917,057	956,026	38,968	4.2%	3,973,518	4,080,338	106,819	2.7%	4,687,653	4,794,181	106,528	2.3%	NA	5,594,025	NA	NA
Y/Y change %	20.4%	25.5%		512bps	17.3%	19.1%		178bps	18.0%	17.5%		(48bps)	NA	16.7%		NA
Guidance (mn)		951-961				4,060-4,100										
Total billings	951,671	892,908	(58,763)	(6.2%)	4,220,047	4,350,356	130,309	3.1%	4,947,407	5,078,432	131,025	2.6%	NA	5,931,004	NA	NA
Y/Y growth %	27.3%	19.4%		(786bps)	18.6%	17.4%		(121bps)	17.2%	16.7%		(50bps)	NA	16.8%		NA
Income (Loss) from Operations	192,582	200,287	7,705	4.0%	896,416	859,855	(36,561)	(4.1%)	1,104,150	1,022,103	(82,047)	(7.4%)	NA	1,192,560	NA	NA
Operating Margin	21.0%	21.0%		(5bps)	22.6%	21.1%		(149bps)	23.6%	21.3%		(223bps)	NA	21.3%		NA
Guidance (mn)	0.0%	195-205				840-880										
Adjusted EBITDA	237,895	256,043	18,148	7.6%	1,082,858	1,088,514	5,656	0.5%	1,302,732	1,222,496	(80,236)	(6.2%)	NA	1,406,551	NA	NA
Adjusted EBITDA margin	25.9%	26.8%		84bps	27.3%	26.7%		(57bps)	27.8%	25.5%		(229bps)	NA	25.1%		NA
EPS (Pro Forma)	\$0.47	\$0.50	\$0.03	5.7%	\$2.15	\$2.11	(\$0.04)	(1.7%)	\$2.54	\$2.35	(\$0.18)	(7.7%)	NA	\$2.65	NA	NA
Guidance		0.49-0.51				2.08-2.16										
Shares outstanding diluted	369,339	368,257	(1,081)	(0.3%)	372,118	372,421	303	0.1%	379,616	381,337	1,720	0.5%	NA	389,021	NA	NA
Cash Flow from Operations	294,739	285,430	(9,309)	(3.3%)	1,213,557	1,216,829	3,272	0.3%	1,461,435	1,438,352	(23,083)	(1.6%)	NA	1,677,810	NA	NA
OCF margin	32.1%	29.9%		(228bps)	30.5%	29.8%		(72bps)	31.2%	30.0%		(117bps)	NA	30.0%		NA
Free cash flow	253,471	237,628	(15,843)	(6.7%)	1,034,749	1,012,812	(21,936)	(2.2%)	1,250,490	1,198,643	(51,848)	(4.3%)	NA	1,398,109	NA	NA
FCF margin	27.6%	24.9%		(278bps)	26.0%	24.8%		(122bps)	26.7%	25.0%		(167bps)	NA	25.0%		NA

Source: Company filings, BofA Global Research estimates

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**Exhibit 5: We forecast high-teens revenue growth though 2028E**

Non-GAAP Income Statement

Non-GAAP Income Statement	FY25				FY26				FY27				FY28				FY25A	FY26E	FY27E	FY28E
\$ Thousands except EPS	1Q25A	2Q25A	3Q25A	4Q25A	1Q26E	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E				
Total Revenue	761,553	826,760	885,651	953,194	956,026	977,316	1,030,899	1,116,097	1,119,630	1,157,351	1,213,096	1,304,104	1,308,275	1,352,201	1,410,796	1,522,754	3,427,158	4,080,338	4,794,181	5,594,025
Total revenue y/y change %	24.6%	28.1%	28.4%	29.2%	25.5%	18.2%	16.4%	17.1%	17.1%	18.4%	17.7%	16.8%	16.8%	16.8%	16.3%	16.8%	27.7%	19.1%	17.5%	16.7%
Cost of revenue	149,897	157,512	166,799	176,897	181,645	185,690	195,871	212,058	212,730	219,897	230,488	247,780	248,572	256,918	268,051	289,323	651,105	775,264	910,894	1,062,865
Non-GAAP gross margin	611,656	669,248	718,852	776,297	774,381	791,626	835,028	904,038	906,900	937,454	982,608	1,056,324	1,059,703	1,095,283	1,142,745	1,233,430	2,776,053	3,305,074	3,883,286	4,531,160
Operating Expenses																				
Sales and marketing	178,393	200,037	195,509	219,144	248,567	258,989	268,034	301,346	288,305	303,805	312,372	348,848	336,881	354,953	363,280	407,337	793,083	1,076,935	1,253,329	1,462,450
Research and development	225,744	263,218	269,517	280,263	277,247	288,308	283,497	304,136	324,693	341,418	333,601	355,368	379,400	398,899	387,969	414,950	1,038,742	1,153,189	1,355,081	1,581,218
General and administrative	41,014	41,885	46,462	46,822	48,279	53,752	56,699	56,363	56,541	63,654	66,720	65,857	66,068	74,371	77,594	76,899	176,183	215,094	252,773	294,932
Total Operating Expenses	445,151	505,140	511,488	546,229	574,093	601,050	608,231	661,845	669,539	708,877	712,694	770,073	782,348	828,223	828,843	899,186	2,008,008	2,445,219	2,861,183	3,338,600
Income (Loss) from Operations	166,505	164,108	207,364	230,068	200,287	190,577	226,798	242,193	237,362	228,577	269,914	286,251	277,354	267,060	313,902	334,244	768,045	859,855	1,022,103	1,192,560
Other Income																				
Interest Income and other income	47,179	44,663	43,897	46,714	35,000	35,000	35,000	35,000	30,000	30,000	30,000	30,000	30,000	30,000	30,000	30,000	182,453	140,000	120,000	120,000
Interest Expense	(1,144)	(1,384)	(1,375)	(1,554)	(1,500)	(1,500)	(1,500)	(1,500)	(1,500)	(1,500)	(1,500)	(1,500)	(1,500)	(1,500)	(1,500)	(1,500)	(5,457)	(6,000)	(6,000)	(6,000)
Other income net	46,035	43,279	42,522	45,160	33,500	33,500	33,500	33,500	28,500	28,500	28,500	28,500	28,500	28,500	28,500	28,500	176,996	134,000	114,000	114,000
Pretax income (loss)	212,540	207,387	249,886	275,228	233,787	224,077	260,298	275,693	265,862	257,077	298,414	314,751	305,854	295,560	342,402	362,744	945,041	993,855	1,136,103	1,306,560
Provision for income taxes (including Non-GAAP tax adj.)	44,633	43,551	52,476	57,798	49,095	47,056	54,663	57,896	55,831	53,986	62,667	66,098	64,229	62,068	71,904	76,176	198,458	208,710	238,582	274,378
Non-GAAP Net income	167,907	163,836	197,410	217,430	184,692	177,021	205,635	217,797	210,031	203,091	235,747	248,653	241,625	233,492	270,498	286,568	746,583	785,145	897,521	1,032,183
Non-GAAP EPS	\$0.46	\$0.46	\$0.55	\$0.59	\$0.50	\$0.48	\$0.55	\$0.58	\$0.55	\$0.53	\$0.62	\$0.65	\$0.63	\$0.60	\$0.69	\$0.73	\$2.06	\$2.11	\$2.35	\$2.65
GAAP Net Income	24,642	2,647	33,885	46,567	31,325	10,186	33,550	30,612	28,584	4,422	32,200	28,959	28,584	812	33,233	29,478	107,741	105,672	94,165	92,108
GAAP EPS	\$0.07	\$0.01	\$0.09	\$0.13	\$0.09	\$0.03	\$0.09	\$0.08	\$0.08	\$0.01	\$0.08	\$0.08	\$0.07	\$0.00	\$0.09	\$0.08	\$0.30	\$0.28	\$0.25	\$0.24
Adjusted EBITDA	210,279	202,447	253,694	278,087	256,043	246,801	284,201	301,470	286,118	277,975	320,260	338,144	329,318	319,770	367,609	389,854	944,507	1,088,514	1,222,496	1,406,551
Shares outstanding basic	343,097	346,185	348,645	350,892	353,524	356,175	358,846	361,538	363,345	365,162	366,988	368,823	370,667	372,520	374,383	376,255	347,205	357,521	366,080	373,456
Shares outstanding diluted	363,078	358,725	362,001	365,516	368,257	371,019	373,802	376,605	378,488	380,381	382,283	384,194	386,115	388,046	389,986	391,936	362,330	372,421	381,337	389,021
Margin Analysis	1Q25A	2Q25A	3Q25A	4Q25A	1Q26E	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	FY25A	FY26E	FY27E	FY28E
	Mar	Jun	Sep	Dec	Mar	Jun	Sep	Dec	Mar	Jun	Sep	Dec	Mar	Jun	Sep	Dec				
Non-GAAP Gross Margin	80.3%	80.9%	81.2%	81.4%	81.0%	81.0%	81.0%	81.0%	81.0%	81.0%	81.0%	81.0%	81.0%	81.0%	81.0%	81.0%	81.0%	81.0%	81.0%	81.0%
Non-GAAP Operating Expenses (as % of rev)																				
Sales & Marketing	23.4%	24.2%	22.1%	23.0%	26.0%	26.5%	26.0%	27.0%	25.8%	26.3%	25.8%	26.8%	25.8%	26.3%	25.8%	26.8%	23.1%	26.4%	26.1%	26.1%
Research & Development	29.6%	31.8%	30.4%	29.4%	29.0%	29.5%	27.5%	27.3%	29.0%	29.5%	27.5%	27.3%	29.0%	29.5%	27.5%	27.3%	30.3%	28.3%	28.3%	28.3%
General & Administrative	5.4%	5.1%	5.2%	4.9%	5.1%	5.5%	5.5%	5.1%	5.1%	5.5%	5.5%	5.1%	5.1%	5.5%	5.5%	5.1%	5.1%	5.3%	5.3%	5.3%
Total Non-GAAP Operating Expenses	58.5%	61.1%	57.8%	57.3%	60.1%	61.5%	59.0%	59.3%	59.8%	61.3%	58.8%	59.1%	59.8%	61.3%	58.8%	59.1%	58.6%	59.9%	59.7%	59.7%
Operating margin	21.9%	19.8%	23.4%	24.1%	21.0%	19.5%	22.0%	21.7%	21.2%	19.8%	22.3%	22.0%	21.2%	19.8%	22.3%	22.0%	22.4%	21.1%	21.3%	21.3%
Adjusted EBITDA margin	27.6%	24.5%	28.6%	29.2%	26.8%	25.3%	27.6%	27.0%	25.6%	24.0%	26.4%	25.9%	25.2%	23.6%	26.1%	25.6%	27.6%	26.7%	25.5%	25.1%
Pretax margin	27.9%	25.1%	28.2%	28.9%	24.5%	22.9%	25.2%	24.7%	23.7%	22.2%	24.6%	24.1%	23.4%	21.9%	24.3%	23.8%	27.6%	24.4%	23.7%	23.4%
Pro forma tax rate	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%
Net Margin	22.0%	19.8%	22.3%	22.8%	19.3%	18.1%	19.9%	19.5%	18.8%	17.5%	19.4%	19.1%	18.5%	17.3%	19.2%	18.8%	21.8%	19.2%	18.7%	18.5%
Growth Rate Analysis	1Q25A	2Q25A	3Q25A	4Q25A	1Q26E	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	FY25A	FY26E	FY27E	FY28E

	Mar	Jun	Sep	Dec	Mar	Jun	Sep	Dec	Mar	Jun	Sep	Dec	Mar	Jun	Sep	Dec				
Year-over-Year																				
Total Revenue	24.6%	28.1%	28.4%	29.2%	25.5%	18.2%	16.4%	17.1%	17.1%	18.4%	17.7%	16.8%	16.8%	16.8%	16.3%	16.8%	27.7%	19.1%	17.5%	16.7%
Gross profit	20.2%	26.4%	28.4%	28.8%	26.6%	18.3%	16.2%	16.5%	17.1%	18.4%	17.7%	16.8%	16.8%	16.8%	16.3%	16.8%	26.1%	19.1%	17.5%	16.7%
Operating Income	1.2%	4.2%	19.8%	28.4%	20.3%	16.1%	9.4%	5.3%	18.5%	19.9%	19.0%	18.2%	16.8%	16.8%	16.3%	16.8%	13.9%	12.0%	18.9%	16.7%
Net Income	6.5%	7.1%	19.1%	22.5%	10.0%	8.0%	4.2%	0.2%	13.7%	14.7%	14.6%	14.2%	15.0%	15.0%	14.7%	15.2%	14.2%	5.2%	14.3%	15.0%
EPS - Pro Forma	4.4%	6.5%	17.7%	21.0%	8.4%	4.5%	0.9%	(2.8%)	10.6%	11.9%	12.1%	11.9%	12.8%	12.7%	12.5%	13.0%	12.8%	2.3%	11.6%	12.7%
Sales & Marketing	23.2%	27.8%	27.1%	27.1%	96.3%	81.9%	83.5%	78.4%	17.1%	18.4%	17.7%	16.8%	16.8%	16.8%	16.3%	16.8%	26.4%	84.6%	17.5%	16.7%
Research & Development	26.3%	41.1%	37.8%	32.1%	(18.1%)	(25.0%)	(25.0%)	(19.3%)	16.1%	17.4%	16.7%	15.9%	16.8%	16.8%	16.3%	16.8%	34.3%	(21.9%)	16.5%	16.7%
General & Administrative	34.7%	46.7%	41.8%	24.6%	13.6%	7.9%	6.8%	8.4%	17.1%	18.4%	17.7%	16.8%	16.8%	16.8%	16.3%	16.8%	36.3%	9.0%	17.5%	16.7%

Source: Company filings, BofA Global Research estimates

BofA GLOBAL RESEARCH



Price objective basis & risk

Datadog Inc (DDOG)

Our \$215 PO is based on an EV/revenue multiple of 18.4x EV/CY26E revenue, which represents an EV/revenue/growth multiple of 1x. This is a premium compared to its infrastructure software peers at 5.3x and 0.5x, which we think is justified given its revenue growth and free cash flow upside potential and category leadership.

Downside risks to our PO: 1) valuation risk, 2) competition, 3) deteriorating net revenue retention, 4) execution, and 5) enterprise software spend can be cyclical.

Analyst Certification

I, Koji Ikeda, CFA, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

US - Software Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Adobe	ADBE	ADBE US	Brad Sills
	Amplitude, Inc.	AMPL	AMPL US	Koji Ikeda, CFA
	Asana	ASAN	ASAN US	Matt Bullock
	BILL	BILL	BILL US	Brad Sills
	BlackLine, Inc.	BL	BL US	Koji Ikeda, CFA
	Box Inc	BOX	BOX US	Matt Bullock
	CCC Intelligent Solutions	CCC	CCC US	Madeline Brooks
	Datadog Inc	DDOG	DDOG US	Koji Ikeda, CFA
	Dynatrace	DT	DT US	Koji Ikeda, CFA
	GitLab Inc.	GTLB	GTLB US	Koji Ikeda, CFA
	Global-e Online Ltd.	GLBE	GLBE US	Koji Ikeda, CFA
	Hinge Health, Inc.	HNGE	HNGE US	Brad Sills
	HubSpot, Inc.	HUBS	HUBS US	Brad Sills
	Intapp Inc.	INTA	INTA US	Koji Ikeda, CFA
	Intuit	INTU	INTU US	Brad Sills
	JFrog Ltd	FROG	FROG US	Koji Ikeda, CFA
	Lightspeed Commerce Inc.	LSPD	LSPD US	Koji Ikeda, CFA
	Lightspeed Commerce Inc.	YLSPD	LSPD CN	Koji Ikeda, CFA
	Microsoft Corporation	MSFT	MSFT US	Brad Sills
	MongoDB Inc	MDB	MDB US	Koji Ikeda, CFA
	Oracle Corporation	ORCL	ORCL US	Brad Sills
	Salesforce.com	CRM	CRM US	Brad Sills
	Samsara	IOT	IOT US	Matt Bullock
	ServiceNow	NOW	NOW US	Brad Sills
	Shopify, Inc.	SHOP	SHOP US	Brad Sills
	Snowflake	SNOW	SNOW US	Koji Ikeda, CFA
	Workday Inc.	WDAY	WDAY US	Brad Sills
	Zeta Global	ZETA	ZETA US	Koji Ikeda, CFA
NEUTRAL				
	Atlassian Corp	TEAM	TEAM US	Koji Ikeda, CFA
	Autodesk	ADSK	ADSK US	Koji Ikeda, CFA
	Bentley Systems	BSY	BSY US	Koji Ikeda, CFA
	Coreweave	CRWV	CRWV US	Brad Sills
	DocuSign	DOCU	DOCU US	Brad Sills
	Elastic NV	ESTC	ESTC US	Koji Ikeda, CFA
	Figma	FIG	FIG US	Brad Sills



US - Software Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Freshworks, Inc.	FRSH	FRSH US	Madeline Brooks
	Monday.com	MNDY	MNDY US	Matt Bullock
	nCino, Inc.	NCNO	NCNO US	Koji Ikeda, CFA
	Paycom	PAYC	PAYC US	Madeline Brooks
	Paylocity	PCTY	PCTY US	Madeline Brooks
	Veeva Systems, Inc.	VEEV	VEEV US	Brad Sills
	Vertex, Inc.	VERX	VERX US	Brad Sills
UNDERPERFORM				
	C3.ai	AI	AI US	Koji Ikeda, CFA
	Commerce.com Inc	CMRC	CMRC US	Koji Ikeda, CFA
	Coveo	YCVO	CVO CN	Koji Ikeda, CFA
	Dropbox	DBX	DBX US	Matt Bullock
	Guidewire Software, Inc.	GWRE	GWRE US	Madeline Brooks
	PagerDuty	PD	PD US	Koji Ikeda, CFA
	Twilio	TWLO	TWLO US	Koji Ikeda, CFA
	UiPath	PATH	PATH US	Koji Ikeda, CFA
	ZoomInfo	GTM	GTM US	Koji Ikeda, CFA

iQmethodSM Measures Definitions**Business Performance**

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

EV / EBITDA

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

EV = Current Share Price × Current Shares + Minority Equity + Net Debt +

Other LT Liabilities

Enterprise Value

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill

Amortization

Shareholders' Equity

Sales

N/A

N/A

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

Market Cap = Current Share Price × Current Basic Shares

Sales

Basic EBIT + Depreciation + Amortization

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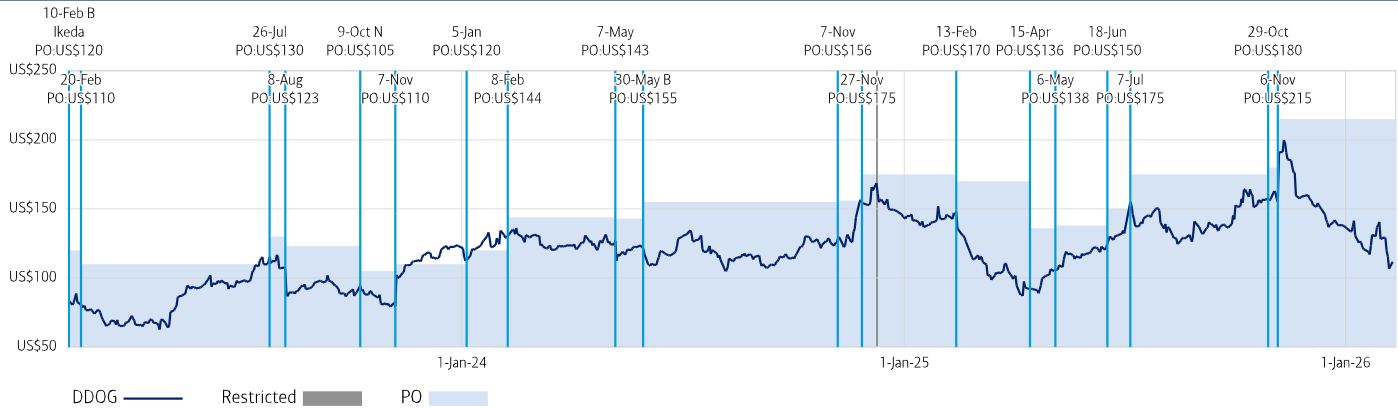
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Important Disclosures

Datadog Inc (DDOG) Price Chart



The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Technology Group (as of 31 Dec 2025)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	208	54.03%	Buy	106	50.96%
Hold	97	25.19%	Hold	44	45.36%
Sell	80	20.78%	Sell	23	28.75%

Equity Investment Rating Distribution: Global Group (as of 31 Dec 2025)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1869	53.99%	Buy	1069	57.20%
Hold	834	24.09%	Hold	481	57.67%
Sell	759	21.92%	Sell	383	50.46%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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